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BUSINESS • EARNINGS

Philip Morris Boosts Outlook as Profit Falls

Cigarette maker expects growth to come later in the year

By Joshua Jamerson

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Philip Morris International Inc., owner of Marlboro and other brands, boosted its earnings forecast for the year on Tuesday. BLOOMBERG NEWS

Philip Morris International Inc. on Tuesday reported weaker-than-expected first-quarter results, citing tough comparisons, but boosted its profit forecast for the year as it sees currency headwinds waning.

For 2016, the cigarette maker raised its forecast earnings to a range of \$4.40 to \$4.50 a share on a reported basis, up from prior guidance of \$4.25 to \$4.35 a share, which includes special items. Still, the company's expectations were below Wall Street's projections; analysts polled by Thomson Reuters had anticipated \$4.48 in earnings.

Philip Morris also said it expects most growth to come in the second half of the year, particularly in the fourth quarter.

Shares slid 2.8% to \$97.75 in premarket trading.

Philip Morris, which sells the leading Marlboro brand internationally, has seen its cigarette volumes grow lately as the European economy strengthens.

André Calantzopoulos, Philip Morris's chief executive, said the company's improved guidance reflects "moderating industry volume declines and robust pricing," blaming the first-quarter results on an unfavorable comparison to the "exceptionally strong" year-ago quarter.

Philip Morris saw a \$272 million benefit from higher pricing across all its regions, which helped drive 2.4% growth in revenue in the quarter, excluding currency impacts and acquisitions.

For the period ended March 31, cigarette volume fell 1.4% to 196 billion units, as 2.6% growth in the European Union, and 2.4% growth in Latin America and Canada was offset by a 7% slide in Asia. In the Eastern Europe, Middle East and Africa unit, shipment volume increased by 0.8%.

Over all, Philip Morris reported a profit of \$1.53 billion, or 98 cents a share, down from \$1.8 billion, or \$1.16 a share, a year earlier. Analysts had forecast \$1.11. Revenue excluding excise taxes fell 8.1% to \$6.08 billion, below the \$6.34 billion in revenue analysts had forecast.

Shares edged down 0.4% to \$100.20 a share in light premarket trading.

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